

Appraisal of Earnings Where Capital Structure Is Top-Heavy. In order to carry this theory of capitalization structure a step further, let us examine the case of Company C. We arrived at a valuation of \$18,000,000 for this enterprise by assuming that its \$12,000,000 bond issue would sell at par and the stock would sell for 12 times its earnings of \$5.20 per share. But this assumption as to the price of the bonds is clearly fallacious. Earnings of twice interest charges are not sufficient protection for an industrial bond, and hence investors would be unwise to purchase such an issue at par. In fact this very example supplies a useful demonstration of our contention that a coverage of two times interest is inadequate. If it were ample—as some investors seem to believe—the owners of any reasonably prosperous business, earning 8% on the money invested, could get back their entire capital by selling a 4% bond issue, and they would still have control of the business together with one-half of its earnings. Such an arrangement would be exceedingly attractive for the proprietors but idiotic from the standpoint of those who buy the bonds.

Our Company C example also sheds some light on the effect of the rate of interest on the apparent safety of the senior security. If the \$12,000,000 bond issue had carried a 6% coupon, the interest charges of \$720,000 would then be earned less than 1½ times. Let us assume that Company D had such a bond issue. An unwary investor, looking at the two exhibits, might reject Company D's 6% bonds as unsafe because their interest coverage was only 1.39 but yet accept the Company C bonds at par because he was satisfied with earnings of twice fixed charges. Such discrimination would be scarcely intelligent. Our investor would be rejecting a bond *merely because* it pays him a generous coupon rate, and he would be accepting another bond *merely because* it pays him a low interest rate. The real point, however, is that the minimum margin of safety behind bond issues must be set high enough to avoid the possibility that safety may even *appear* to be achieved by a mere lowering of the interest rate. The same reasoning would apply of course to the dividend rate on preferred stocks.

Since Company C bonds are not safe, because of the excessive size of the issue, they are likely to sell at a considerable discount from par. We cannot suggest the proper price level for such an issue, but we have indicated in Chap. 26 that a bond speculative because of inadequate safety should not ordinarily be purchased above 70. It is also quite possible that